

Navigating Market Cycles with Flexibility: The Case for Flexicap Investing

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In an evolving market environment, adaptability can be a key advantage for equity investors.

In the post-COVID era, volatility has been more of a norm than an exception in the equity markets. More so in the past couple of years as geopolitics, wars, trade tariffs and adverse currency movements caused markets to rotate constantly. This volatile and corrective phase has however brought several pockets in the market under a favourable valuation scenario.

With economic growth still strong domestically, corporate earnings on the mend, and inflation under control, the long-term prospects for equity investing are still reasonably attractive.

To make the most of this situation with favourable tailwinds in the broader markets, flexicap investing may be a sound proposition. It involves flexibility to invest across large, mid, and small-cap stocks without any capping across marketcaps. This helps the portfolio adapt to market changes and capture opportunities across market segments for long-term wealth creation.

The flexicap philosophy

Each market cap segment plays a certain role in a flexicap portfolio. This depends on the presence of positive or negative triggers in the market.

When negative market triggers are in place, large caps remain the resilient pack. They tend to have strong cashflows, moats and steady earnings. Large caps would help to limit portfolio downsides as large companies usually have better risk management abilities compared to mid & small caps. This may provide the portfolio with relative stability during adverse markets.

When there is overall positivity in the markets and triggers are healthy, mid and small caps would be the favoured segments in equities. Fundamentally strong mid as well as small cap companies tend to have good rerating potential. With improving growth & profitability, mid and small cap companies may deliver multi-bagger performances, thus lifting portfolio returns.

When done well, flexicap investing



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“Different market cycles favour different segments and flexicap investing aims to capture these shifts.”

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ensures a diverse portfolio. A well-diversified portfolio would mitigate portfolio risks while navigating various market cycles.

Taking a process-driven approach

Making flexicap investing work requires taking a top-down and bottom-up approach.

Market cap allocation across large, mid and small caps must be determined based on the prevailing market valuations and

presence of opportunities in segments. Care must be taken to avoid excessive stock and sector concentration so as to build a well-rounded portfolio.

For top-down approach, macroeconomic factors are studied. Key factors would be inflation, interest rates (local and global), fiscal and current account deficits, currency movements, GDP growth, movement in indicators such as PMI, IIP and the like.

For bottom-up stock picking, fundamental factors to be monitored for consistency would include revenue and earnings growth of companies. Debt levels should preferably be low or manageable. Key financial factors to be assessed would also include healthy margins, stable cashflows, and a strong balance sheet.

Qualitative factors also need to be looked into closely. The quality of the management, stakeholder management, execution track record, corporate governance standards and market share are some parameters that are to be monitored to pick the best of companies.

Industry specific factors that have to be watched include competitive dynamics in various segments, growth prospects over the long term, presence of economic moats and any entry barriers to an industry. For retail investors, mutual funds with a flexicap mandate are ideal and are suited to play an important part of their overall holdings. Fund managers would make allocation decisions across market caps and stock selections based on rigorous analyst inputs and models. A flexicap scheme is designed to perform in different market cycles, given the dynamic nature of the choices it makes in navigating across market capitalizations.

Flexicap funds deliver consistent outperformance

	1 year	3 years	5 years	7 years	10 years
Flexicap funds	2.3%	14.7%	13.4%	15.2%	14.2%
BSE 500 TRI	0.1%	12.8%	12.5%	15.1%	14.0%

CAGR data as of July 10, 2026; Direct plans of flexicap funds
Source: Valueresearch • Created with Datawrapper